WHY BIHAR NEEDS AN EXPORT-LED GROWTH MODEL

From production and employment to competitiveness, value addition and resilient local economies

ECONOMIC STRATEGY
Connect Bihar’s production strengths to external demand.

BOARD-LEVEL LENS
Translate export ambition into measurable governance, risk and performance.

POLICY PRIORITIES
Move from export potential to repeat orders, value addition and jobs.

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A thought-leadership article for policymakers, business leaders, investors and board-level audiences.

Executive Summary

Bihar needs an export-led growth model because long-term prosperity depends not only on how much the state produces, but also on how productively it converts local capabilities into competitive goods and services for larger markets. Exports can help firms scale beyond local demand, improve quality, attract investment, build supplier networks, earn foreign exchange and create more durable jobs. But exports are not a magic solution: they work best when paired with skills, infrastructure, finance, reliable institutions and domestic demand.

The evidence shows both a real opportunity and a clear capability challenge. NITI Aayog's Export Preparedness Index (EPI) 2024 reports Bihar's exports at ■17,154 crore in FY 2023–24, an EPI score of 46.31 and a rank of 19 among large states. It also reports that 83.46% of Bihar's exports went to Nepal in FY24, and that 76% of agricultural exports were destined for Nepal. This concentration is a strategic signal: proximity to Nepal is an asset, but market diversification and deeper value addition can improve resilience.

1. Why export-led growth matters for Bihar

1.1 Expanding the market beyond local purchasing power. Firms that rely only on local demand may struggle to achieve scale. Export markets can widen the customer base and support higher production volumes—provided the product can compete on price, quality, delivery and compliance.

1.2 Moving from raw output to value addition. Bihar's agricultural and craft strengths can generate more local value when products are graded, processed, packaged, branded and marketed rather than sold only as low-margin raw commodities. Value addition can create work in processing, packaging, logistics, quality testing, design and marketing.

1.3 Improving productivity and standards. International buyers often require consistency, traceability, food safety, quality assurance and predictable delivery. Meeting those requirements can encourage better management practices that also benefit domestic customers.

1.4 Creating stronger enterprise ecosystems. Exporters generate demand for suppliers, transporters, warehouses, packaging firms, laboratories, finance providers and skilled workers. The wider local ecosystem can benefit when these linkages are developed in Bihar rather than outsourced entirely elsewhere.

1.5 Diversifying employment and opportunity. Export competitiveness can support non-farm employment, including opportunities for women and young people in processing, design, digital trade, logistics and business services. The impact depends on job quality, skill development and fair working conditions.

2. Bihar's evidence: strengths and gaps

Bihar's economic base is changing, but structural challenges remain. The Bihar government's public statistics dashboard reports GSDP at current prices of ■9,91,997 crore for FY 2024–25 (provisional/quick estimate) and shows services as the largest GSVA component, followed by industry and agriculture. This structure suggests that an export-led strategy should not be limited to farm commodities: it should also explore manufacturing, food processing, textiles, selected services and business-to-business opportunities.

The NITI Aayog EPI 2024 identifies potential in Shahi litchi, makhana, maize, Bhagalpuri silk and GI-linked products such as Mithila art and Katari rice. It also identifies core sectors including agriculture and food processing, leather,

handlooms and textiles, alongside emerging opportunities such as eco-friendly packaging, organic food products and pharmaceuticals. These are strategic leads—not proof that every product or district is export-ready today.

The gap is not merely product availability. Export success depends on aggregation, product consistency, testing and certification, packaging, cold-chain and logistics capacity, working capital, buyer discovery, customs knowledge and timely payments. Export promotion should therefore focus on solving these connected bottlenecks.

3. The strategic risk: export concentration

NITI Aayog reports Nepal as the destination for 83.46% of Bihar's exports in FY24. Neighbouring-market proximity can reduce transport frictions and create a natural commercial advantage, especially for suitable agricultural goods. However, high concentration also creates exposure to demand changes, border or logistics disruptions, product restrictions and buyer concentration.

A more resilient model should pursue two goals simultaneously: deepen trade with existing nearby markets where Bihar is competitive, and gradually diversify selected products into additional markets where compliance and economics justify the investment. Diversification should be evidence-led—not a costly attempt to enter many countries at once.

4. A Bihar export-led growth framework

Pillar 1 — District-level product and market intelligence. Use official commodity, country, state and district trade data to identify exportable products, target markets, competitors and price trends. The Department of Commerce Trade Intelligence and Analytics Portal provides views of exports by states and districts, commodities and partner countries.

Pillar 2 — From commodity to competitive product. Prioritise grading, processing, design, packaging, traceability and branding. For perishable goods, invest only where cold-chain, shelf-life and destination-market requirements are commercially workable.

Pillar 3 — Shared infrastructure and clusters. Where a clear business case exists, develop common testing, packhouse, cold-storage, warehousing, aggregation and logistics services. Shared facilities need professional management, transparent access rules and utilisation targets.

Pillar 4 — MSME capability and finance. Help enterprises prepare costed export plans, meet standards, understand Incoterms, qualify buyers, manage foreign-exchange risk and access suitable working capital. A registration certificate is not the same as an active exporter.

Pillar 5 — Market access and buyer trust. Build links with export promotion councils, industry bodies, trade missions, verified buyer networks and e-commerce channels where suitable. Encourage buyer verification, clear contracts and secure payment structures.

Pillar 6 — Skills and inclusion. Build practical capabilities in quality control, food safety, packaging, digital marketing, documentation, logistics and trade finance. Include women-led firms, producer groups and rural enterprises where support can be linked to real market demand.

Pillar 7 — Institutional coordination. Coordinate the Department of Industries, district administrations, export promotion bodies, banks, logistics providers, testing agencies and business associations around defined product-market priorities and measurable delivery.

5. What board members should ask

For a board, investment committee or policy oversight body, export-led growth must be more than a headline ambition. It should be managed as a portfolio of opportunities, risks and measurable outcomes. Useful questions include:

- Which products and destination markets have verified demand, and what evidence supports the choice?
- What is the landed cost, gross margin and working-capital requirement under realistic scenarios?
- What standards, certifications, logistics and infrastructure are the critical path to market entry?
- How concentrated are sales by buyer, country, product and route?
- What safeguards protect against delayed payment, currency movements, rejection, spoilage and regulatory change?
- What outcomes are expected for local jobs, supplier participation, women-led enterprises and value retained in Bihar?

• Who is accountable for delivery, what is the timeline, and what data will demonstrate progress?

6. A 3-year implementation scorecard

A practical strategy should start with a baseline and then publish a small dashboard of outcomes. Targets should be set only after product- and district-level data are verified.

Measure	Why it matters	Board-level question
Active exporting MSMEs	Measures actual market participation, not registrations alone.	How many shipped and received payment?
Repeat-order rate	Signals buyer satisfaction and product reliability.	Are first orders converting to durable relationships?
Value addition and local sourcing	Tracks local economic retention.	How much value and procurement stay in Bihar?
Export margin and payment cycle	Tests commercial sustainability.	Are firms profitable and cash-flow resilient?
Market/product concentration	Shows vulnerability to shocks.	Is risk diversified intelligently?
Quality failures and delivery reliability	Tracks readiness for global competition.	Are rejections, delays and claims falling?

7. What export-led growth cannot do alone

Exports cannot substitute for broad-based development. Bihar also needs better foundational skills, reliable power and transport, efficient land and industrial services, access to credit, domestic demand, and predictable regulation. Nor should policy reward shipment volume without examining profitability, labour conditions, environmental impacts and local value creation. Export-led growth is strongest when it complements—not displaces—investment in human development and a healthy domestic economy.

Conclusion: From export potential to export capability

Bihar's export challenge is not simply to sell more abroad. It is to build an ecosystem in which enterprises can identify demand, meet standards, finance production, deliver reliably, get paid and reinvest in growth. The state's reported export value, product strengths and geographic access create a credible foundation; the EPI ranking and destination concentration show why capability-building and diversification deserve focused attention.

Board-level proposition: Bihar should treat exports as a coordinated competitiveness strategy—linking product development, enterprise capability, infrastructure, finance, market access and accountable delivery. Success should be measured through active exporters, repeat orders, higher local value addition, resilient margins and quality employment, rather than announcements or registrations alone.

About the Author

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Evidence base and official resources

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5. Press Information Bureau, Department of Commerce Year End Review 2025: https://www.pib.gov.in/PressReleasePage.aspx?PRID=2201284⟨=1®=3

Data note: Bihar export value and EPI score/rank are from NITI Aayog's EPI 2024 and refer to FY 2023–24. Bihar GSDP data are from the state public dashboard for FY 2024–25 (Q/provisional estimate). India's national export figure is not used as a proxy for Bihar's exports. Figures and policy eligibility should be rechecked against the latest official releases before publication or business decisions.